

POLICY & REGULATION

Lina Khan at EDC: Time Is Now the Most Expensive Ingredient in NYC Development

The former FTC chair's appointment signals that entitlement risk and regulatory timeline are becoming the dominant variables in New York's development calculus.

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New York Mayor Zohran Mamdani appointed Lina Khan as board chair of the city's Economic Development Corporation on Wednesday. The former FTC chair will now guide the policy and project approvals for the city's primary development vehicle.

The appointment is not a policy statement. It is a timeline signal.

Khan built her reputation at the FTC by slowing down mergers, extending reviews, and using procedural leverage to reshape deal economics. She did not ban acquisitions. She made them expensive in the dimension that matters most to capital: time.

That same approach now applies to New York City development. The EDC controls land disposition, environmental review, community engagement, and the entitlement pathway for major projects. The board chair sets the agenda. Khan will approve which projects move forward and which stall.

The market should assume that development timelines under this administration will lengthen, not shorten. That assumption changes the underwriting math for every sponsor considering a city-led project.

Time is not a neutral backdrop in development. It is the most expensive ingredient in the capital stack. A two-year entitlement delay does not just push back the first lease. It compounds carrying costs on land, extends interest-only periods on construction loans, and forces equity partners to hold capital longer than modeled. Every month of delay reduces the levered return by a measurable amount. At current interest rates, a one-year delay can wipe out 100 to 200 basis points of IRR on a typical ground-up multifamily project.

The EDC is not the only path to development in New York. Private sites with vested zoning rights will continue to move on their own timelines. But for projects that require city land, city approvals, or city subsidies, the clock just got longer.

Anthony Shorris, named the same day as EDC president, will run day-to-day operations. He is a known quantity in New York governance, having served as first deputy mayor under Bill de Blasio

and as executive director of the Port Authority. His appointment suggests operational competence. But the board chair sets the strategic direction, and Khan's mandate from Mamdani is explicit: ensure justice is the driving principle behind all economic development work.

That language matters. It signals that project approval will be evaluated on criteria beyond financial feasibility, job creation, or tax revenue. Community benefit, affordability, labor standards, and environmental justice will carry weight in the approval calculus. Each of those criteria adds process. Each process step adds time.

The development community should watch how Khan handles the first major project to cross her desk. The EDC is currently advancing five city-run grocery stores, one in each borough, as part of Mamdani's agenda. That initiative will be the first test of how the new board chair balances speed against policy goals. If the grocery stores move quickly, the market can calibrate its expectations. If they stall, the signal is clear.

Khan's appointment also changes the risk profile for capital partners. Institutional investors underwrite political and regulatory risk when they commit to large-scale urban development. That risk is now higher for New York City projects that touch the EDC. Pension funds, insurance companies, and foreign sovereign wealth funds will need to adjust their required returns or shorten their hold periods for city-involved assets.

Private capital will adapt. It always does. But adaptation takes the form of higher return thresholds, tighter legal protections, and more conservative underwriting. Sponsors seeking EDC partnerships will need to offer a premium for the additional timeline uncertainty. That premium will come out of the project's residual value, which ultimately lands on the city's tax base and the community's access to new development.

The irony is not lost on anyone who watched Khan's FTC tenure. She argued that concentrated corporate power raised costs for consumers. The same logic applies to development: concentrated regulatory power raises costs for builders, and those costs flow through to rents and home prices. A slower entitlement process does not make housing more affordable. It makes housing more expensive

by restricting supply.

Khan's appointment is not a judgment on her intelligence or integrity. She is clearly both smart and principled. The question for the market is whether those principles translate into a development environment where projects can pencil. The answer will emerge in the first entitlement timeline, the first project denial, and the first cost overrun attributed to process delay.

For now, the market should test one thing: how long it takes the EDC to approve a straightforward, non-controversial project under the new leadership. That timeline will tell sponsors everything they need to know about the cost of time in New York City development.

SOURCES

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